

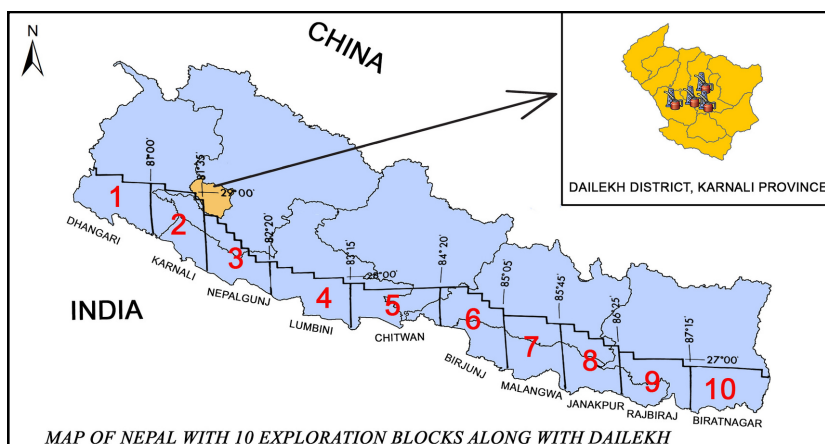


Photo Credit: Nepalnews.com

Oil Drilling in Nepal ?

Key Highlights

- The exploration in Dailekh is based on the Government to Government (G2G) agreement between the government of Nepal and China. But the actual agreement is not available in any public domain.
- China is responsible for 100% of financial and technical aspects whereas Nepal's government is facilitating the oil drilling project in Dailekh. Activities to be performed and related information are all under the control of China.
- As per Nepal's second Nationally Determined Contribution (NDC), Nepal has pledged to focus on renewable energy and decrease dependency on fossil fuels by ensuring 15% of the total energy demand is supplied from clean energy sources, increase sales of e-vehicles to cover 90% of all private passenger vehicles and 60% of all public vehicles by 2030. Starting a fossil-fuel based industry from scratch contradicts Nepal's own commitments.
- Nepal has a fragile topography. The dynamics of a collision between Indian and Tibetan lithospheric plates resulted in the formation of a number of tectonic faults and highly deformed rocks (Dhakal, 2013). Fracking of any kind could trigger the tectonic status giving rise to numerous calamities like earthquakes, landslides, etc.

Background

The history of oil exploration in Nepal started in 1978 A.D. Under the funding of the World Bank, Airborne Magnetic Survey was conducted from east to west of the Terai and Chure by the Department of Mines and Geology (DMG)¹. In 1982, the Petroleum Exploration Promotion Project (PEPP) under the Department of Mines and Geology of the Government of Nepal was established as a central unit for any oil-related projects in Nepal. In 1985 A.D. to further explore oil in Nepal, 10 blocks were formed across the Chure and Terai belt of Nepal with each block covering a 5000 sq.km area namely Dhangari, Karnali, Nepalgunj, Lumbini, Chitwan, Birgunj, Malangwa, Janakpur, Rajbiraj and Bitarnagar.

In 1985, all 10 blocks were opened for bidding. Among them, block 10 i.e. Biratnagar was won jointly by Shell Nepal BV and Triton Energy Corp. They carried out a 2000 km seismic survey and one exploration well.

The findings were not promising and they left in 1990 after completing obligated work. There were numerous biddings in 1989, 1990 and 1995 but no investors showed interest. These 10 blocks were contracted to various investors including Cairn Energy (UK) Texana Resources Company of Houston (USA), BBB Champion Oil (USA) and a partnership between Champion Oil emirates associated Business Group from 1998 to 2012 A.D. Before leaving in 2012 of "force majeure" Texana invested USD 3 million² and Cairn Energy USD 2- 10 million . But due to inactivity, the government of Nepal terminated their contracts in 2014.

¹ About the history of oil exploration in Nepal, from website of PEPP, find at <https://www.petroleumnepal.gov.np/content/about-petroleum.html>

² Data from New Business Age, find at <https://www.newbusinessage.com/MagazineArticles/view/286>

Dailekh is famous for its eternal flames in numerous locations which holds religious significance among Hindu devotees. It doesn't fall under the predetermined 10 oil blocks designated by the DMG. Dailekh's exploration agreement was signed on 23rd August 2017 after a verbal agreement by the then prime minister during his China visit in 2016. The implementation period started on 28th May 2019 but was highly affected by COVID-19. The project is governed by the China-Aided Oil and Gas Resource Survey. **Dailekh was selected as a probable oil site as there are 45 gas seeps indicating the presence of oil and gas underneath. Also, the geography of Dailekh is similar to Potwar Basin in Pakistan and Assam Basin in India where oil extraction has been going on for a long time.**

The first phase work such as Petroleum Geological Mapping and Geological Mapping (Dailekh area), Geochemical Sampling (Dailekh area), Magneto telluric Survey (Dailekh, Surkhet and different part of Nepal) and Seismic Survey (Dailekh area) has been completed³. It is believed that the surface analysis showed positive results which could only be verified from exploratory drilling. The exploratory well of 4km depth is planned to be drilled by 2024. The second phase is delayed due to the lack of infrastructure to transport heavy drilling equipment to Dailekh from China for which the government of Nepal is responsible. Recently as per the news dated February 7, 2023, the cabinet of Nepal allocated 45 Ropani (22893.3 sq. m) land for the construction of an office in Bhairavi Rural Municipality -1 Jaljale which is close to the discussed oil drilling site.⁴

Field Observation

At the end of 2022, A team visited Dailekh oil exploration sites while on their personal tour to Rara, the largest lake in Nepal situated at the altitude of 2,990m , which is a famous touristic destination. Upon visiting, they observed the following findings;

- **Voices From Communities**

- There has never been a single consultation with locals regarding oil exploration and its potential economic, environmental and social impacts.
- Most of the information locals receive is through the national news, which itself lacks quality information. There is also no provision of information flow from responsible institutions regarding the project activities.

- **Dreams of Local Residents**

- Local people have a dream of economic stability and prosperity due to the oil present in Dailekh.

Most of their dreams are self-narrated and shared within the community.

- They hope that they will get a share of the income generated from oil and their lands which are used for exploration will receive higher values.

- **Governmental Accountability**

- The project is overlooked by the federal government of Nepal's focal institution i.e. the Department of Mines and Geology. However, Karnali province has no involvement in any decision-making for this oil drilling project despite the provincial government being given authority by Schedule 9, Point 8 of the Constitution of Nepal.
- There is a provision in Section 11, Sub-section 2 of the Local Government Operation Act, 2074 of Nepal that the local government should be accountable for collecting and relaying information regarding Mines and Minerals. But, not having had a single consultation with locals indicates institutional flaws.

- **Historical Significance**

- Among Panchakoshi (5 temples of Dailekh), three temples have constant flames. There is a high religious and historical significance dating back to Mahabharat times. People believe that the flames have dimmed due to exploration activities.



³ Activities done so far in Dailekh, from website of PEPP, find at https://www.petroleumnepal.gov.np/content/exploration_activities.html

⁴ Land allocated for office setup, obtained from The Nepali Post, find at <https://thenepalipost.com/details/30075>





Photo during KII with locals of Dailekh

Way Forward

The Intergovernmental panel on climate change (IPCC) reports have continuously alarmed that climate catastrophe is closing in on all of us and immediate action by developed countries to cut down their emissions is urgent to avoid this catastrophe. Countries like Nepal should push these developed countries to cut down their emission on the basis of scientific evidences and emphasize its demands for climate justice, however on the contrary, fossil fuel development projects are operational in Nepal. Fossil fuel projects are inconsistent with the 1.5°C limit under the Paris Agreement. Nepal should stop fossil fuel financing as fossil fuel expansion is incompatible with limiting global temperature rise to 1.5° C. The IPCC finding has clearly outlined that to limit the global temperature rise to 1.5 degrees Celsius at least a 43% emission reductions is needed by 2030 compared to 2019 levels and at least 60% by 2035. This new fossil fuel infrastructure in a country like Nepal would lock in decades of emissions and the prospect of achieving energy security and sustainable development through clean and just energy systems will not be attainable.

Nepal, a Least Developed Country (LDC), in various National and International platforms has committed to restricting its emission and in COP 26, pledged to reach net-zero emissions by 2045. To reach this target, Nepal needs to invest more in renewable energy rather than investing millions in a fossil-fuel based industry. In the revised Nationally Determined contribution (NDC) of Nepal, the major focus is on renewable energy and decreasing dependency on fossil fuels. Nepal pledged to expand clean energy generation from approximately 1,400 MW to 15,000 MW and ensure 15% of the total energy demand is supplied from clean energy sources by 2030. Transportation is one of the major emission sectors in Nepal. To limit emission, Nepal pledged to increase sales of e-vehicles to cover 90% of all private passenger vehicles and 60% of all public vehicles by 2030.

We have examples of countries like Nigeria, Sudan and South Sudan, Venezuela, Iraq, and numerous other countries that are facing multiple crisis due to fossil fuel extraction. Socio-economical, political and environmental aspects have taken a major hit due to unmanaged fuel extraction and there is no denying that Nepal won't face similar circumstances. Despite community resistance, the fossil fuel industry led to irreversible calamities which could be regarded as human rights violations. Nepal could also face such circumstances so it is necessary to build community resistance from an early stage so that the fossil fuel extraction could be stopped.



Moving forward, it is essential to transition to cleaner energy sources and focus on a low-carbon development future. It is definitely a slower process transitioning from a fossil-fuel based energy source to a cleaner, just and equitable sustainable energy source but is possible through energy democracy. Investing is necessary in community-based energy sources like micro-hydro, solar or wind to generate electricity and use cleaner energy replacing fossil fuels for transportation, cooking and other daily activities. Along with that, transitioning from a fossil-based industry requires job transitions for individuals working in those industries. Necessary skills need to be developed and opportunities should be created so that people are not deprived of their jobs during this transition.

Proper stakeholder consultation and engagement are necessary for the low carbon development future of Nepal. Stakeholders ranging from policymakers, government officials, civil society organizations, local beneficiaries, youth, academia and media should be brought together with everyone having their say regarding the low carbon development pathway. It is necessary to look at the low carbon future from an intersectional approach as numerous sectors' joint ventures are required to achieve it. Sectors like energy, transportation, agriculture, forestry, urban development, technology, etc should all be included as key stakeholders in any discussion and decision to achieve fossil-free low carbon development in Nepal. Nepal being a least developed country, should focus on development but alongside economic growth, the environment and climate should be taken into consideration.

We call for climate justice for vulnerable communities and people and we hold our government to their duties to put people and the planet above the interests of companies, corporations and elites. It's high time for Nepal, to transition from fossil fuel to cleaner energy and stop exploring fossil fuels and stand as a leader in the low-carbon future. Governments and communities must stop the oil extraction work in Dailekh, as it is fueling the climate chaos and undermining the country's energy security. Nepal should demonstrate climate leadership and it should immediately end public finance for fossil fuels while supporting a just transition to renewable energy.

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